SEAMEC Limited

ACCUMULATE

NSE: SEAMECLTD | Offshore Marine Services — Diving Support Vessels (DSVs) | BSE: 526807

12-Month Price Target: ■1,900

CMP (■)	Market Cap (■ Cr)	52W High (■)	52W Low (■)	P/E (TTM)
1,566	**3,980**	**1,576**	**753**	**20.9x**
P/B (x)	Book Value (■)	ROCE (%)	ROE (%)	Div. Yield
3.70x	**423**	**8.60%**	**7.93%**	**0.00%**
Face Value (■)	EPS TTM (■)	Upside to Target	Analyst	Report Date
10.0	**75.07**	**~21%**	**Equity Research Desk**	**16-Apr-2026**

Shareholding Pattern (Mar-2026)	Promoter	FII	DII	Public	Pledge
% Holding	72.72%	3.73%	4.49%	19.05%	0.00%

DSV scarcity + ONGC's $11B capex wave + fleet doubling = multi-year re-rating story

SECTION 2 — INVESTMENT THESIS

Core Reason 1 — Fleet Doubling Into a Supply-Constrained Market

SEAMEC is the dominant Indian operator of Diving Support Vessels (DSVs) — a highly specialised category where global newbuild lead times exceed 36 months. The company is acquiring two additional high-specification DSV/MSVs (Nusantara at $25,000/day and SEAMEC Anant at $45,000/day), both on locked-in 4-year charters with ONGC. These vessels are expected to contribute incremental revenue of ■78–140 Cr annually each at peak utilisation, growing total fleet revenue by ~50% over FY25. With only a handful of certified DSVs available in India, SEAMEC's first-mover advantage in fleet expansion creates a near-impossible-to-replicate moat. The growth thesis plays out over FY26–FY28 as vessels are integrated and reach full operational tempo.

Core Reason 2 — ONGC's $11 Billion Offshore Capex Supercycle

India's national oil company ONGC has committed $11 billion in offshore capex over the next three years, encompassing 25+ new offshore facilities and 1,000+ km of sub-sea pipelines. This directly translates into elevated and sustained demand for DSV services — pipeline laying, underwater inspection, maintenance, and construction support. SEAMEC already holds the dominant position in ONGC's Western Offshore zone and has recently secured a ■410.74 Cr O&M; contract for MSV Samudra Sevak (738 days, 2026–2028), demonstrating that ONGC is actively expanding SEAMEC's scope. This structural spending ramp provides multi-year revenue visibility that is rare in the broader marine sector.

Core Reason 3 — International Expansion Unlocks Premium Day Rates

SEAMEC is establishing a UK liaison office, operational by September 2026, targeting the North Sea offshore market where DSV day rates are 2–3x Indian tariffs. A single vessel operating in the North Sea at $80,000–$120,000/day vs $25,000–$45,000/day in India would more than double vessel-level economics. This optionality is not priced in at current multiples. The international expansion thesis plays out over FY27–FY29 and represents meaningful upside to our base-case estimates.

Near-Term Catalyst (6–12 months)

Q4 FY26 results (expected May 2026) confirming full-year PAT of ~■190 Cr alongside formal deployment announcements for Nusantara and SEAMEC Anant will be the critical re-rating trigger.

Biggest Structural Risk

SEAMEC derives ~80%+ of revenue from a single customer (ONGC); any reduction in ONGC's offshore activity, contract non-renewal, or day-rate renegotiation would materially impair earnings.

SECTION 3 — BUSINESS OVERVIEW

Simple Business Explanation

Imagine a high-tech underwater ambulance service for oil rigs. When ONGC's offshore oil platforms need repairs underwater — cracked pipelines, damaged anchors, blocked wellheads — they cannot drain the ocean. Instead, they hire SEAMEC's specialised ships, which carry trained saturation divers, remotely operated vehicles (ROVs), and heavy lifting cranes to fix problems 100+ metres below the sea surface. SEAMEC charges a daily rate for these vessels (analogous to renting a fully-equipped hospital ship), and because there are very few companies that own such vessels globally, rates stay elevated.

Business Model & Revenue Segmentation

SEAMEC earns revenue purely through vessel charter hire — time-based contracts where clients pay a fixed USD/day rate regardless of whether diving or construction operations are in progress. The fleet currently comprises five Multi-Support Vessels (MSVs/DSVs) — SEAMEC II, SEAMEC III, SEAMEC Princess, SEAMEC Paladin, SEAMEC Swordfish — one Offshore Support Vessel (SEAMEC Diamond), and one Accommodation Barge (SEAMEC Glorious). With new additions (Nusantara and Anant), the fleet grows to nine vessels. Revenue is ~90% domestic (Western offshore India / ONGC's Mumbai High field) with residual exports from occasional international deployments. Contracts are typically 1–5 year ONGC charters, providing exceptional revenue visibility and near-zero client acquisition cost.

Key Customers & Revenue Concentration

ONGC (Oil and Natural Gas Corporation of India) is SEAMEC's primary and dominant customer, contributing an estimated 80–90% of total revenues. Other customers include private sector offshore operators and HAL Offshore (for ONGC sub-contracts). While this concentration creates dependency risk, it also implies government-backed counterparty quality and long-duration contracts. SEAMEC Agastya is on a 5-year charter worth ~$43 million with HAL Offshore for an ONGC project, illustrating the sub-contracting chain. The company is actively diversifying via international expansion.

Promoter Background & Governance

SEAMEC Limited is promoted by the Karim family through EMAS Offshore Pte Ltd (Singapore-based offshore services group), holding a 72.72% stake with zero pledging. Promoter shareholding has been stable at 71.5–73% for the last decade, indicating strong alignment. The company made no value-destructive acquisitions — all capex has been channelled into vessel upgrades and fleet additions with clear ONGC charterage backing.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Market Size & Growth Drivers

The global Offshore Support Vessel (OSV) market stood at ~$28.3 billion in 2025 and is projected to reach $55.1 billion by 2035, growing at a 7.7% CAGR. India's sub-segment is expected to outpace the global rate at a double-digit CAGR through FY2031, driven by: (i) ONGC's $11B capex commitment for 25+ offshore facilities; (ii) government push to reduce hydrocarbon imports; and (iii) nascent offshore wind development (government target: 30 GW by 2030). Asia-Pacific accounts for 25% of global OSV demand and is the fastest growing region at 7.5% CAGR. Within India, DSV/MSV availability is critically scarce — fewer than 10 certified saturation-dive capable vessels operate in domestic waters — making every new entrant's build or acquisition a multi-year undertaking.

Competitive Moat Assessment

Moat Factor	Rating	Commentary
Pricing Power	Strong	DSV scarcity globally; ONGC day-rate escalation clauses in long-term contracts
Switching Costs	Strong	ONGC requires vessel certification, crew accreditation, 3+ year relationship history

Moat Factor	Rating	Commentary
Scale / Cost	Moderate	Largest domestic DSV operator; procurement & crewing scale advantage vs. single-vessel operators
IP / Technology	Moderate	Saturation diving systems, ROV fleets, DP2 vessel capabilities; limited pure-IP but high operational know-how
Distribution / Relationships	Strong	Decade-long ONGC framework contracts; embedded in offshore operations planning cycles

Peer Comparison (Source: Screener.in, as of 15-Apr-2026)

Company	CMP (■)	MCap (■ Cr)	P/E (TTM)	P/B (x)	ROCE (%)	ROE (%)	TTM Rev (■ Cr)
SEAMEC Ltd	**1,566**	**3,980**	**20.9**	**3.70**	**8.60**	**7.93**	**825**
GE Shipping	1,400	19,993	8.84	1.31	13.9	14.1	5,121
Deep Industries	490	3,136	13.5	1.62	12.1	12.9	809
Shipping Corp. (SCI)	253	11,801	10.4	1.38	9.81	10.5	5,592

SEAMEC trades at a significant P/E and P/B premium vs. peers, reflecting its specialised DSV positioning, long-term charter visibility, and fleet-doubling growth profile that commodity shipping peers lack.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter Track Record

The Karim-led EMAS Offshore group brings decades of Asian offshore marine expertise. SEAMEC's management has consistently demonstrated disciplined capital allocation — all vessel acquisitions have been backed by advance charter agreements (either signed or near-signed) with ONGC, eliminating speculative procurement risk. The promoter group has grown its stake marginally from 71.9% (FY20) to 72.7% (Mar-2026), signalling continued confidence in business prospects.

Capital Allocation History

SEAMEC has been in a sustained fleet-building phase since FY22, spending ■316 Cr on vessel acquisitions in FY24 alone. The company's criterion for vessel acquisition is clear: recover 50% of the acquisition cost during the initial charter period — a robust, self-imposed hurdle rate. With ■800 Cr committed for new vessels (Nusantara + Anant), this framework implies expected returns well above the cost of capital from ONGC charter economics. The company has not paid dividends — a conscious choice to reinvest in fleet expansion — which is appropriate given the high-return opportunities available.

Governance Indicators

Governance Factor	Status	Comment
Promoter Pledge	0.00%	Clean — no pledging ever recorded
Promoter Stake Trend	Stable / Rising	71.5% → 72.7% over 5 years — positive alignment signal
DII Holding Trend	Rising	0.01% (FY23) → 4.49% (Mar-26) — institutional accumulation underway
Related Party Transactions	Low	Primary customer is ONGC (government entity); minimal intra-group RPTs
Dividends	None	Zero dividend — reinvestment in fleet; appropriate given high ROCE on capex
Audit Quality	Adequate	No audit qualifications flagged in recent filings

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (■ Crore)

Metric	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Revenue	437	729	652	825 (E)	1,000 (E)
YoY Growth %	-18.5%	+66.8%	-10.6%	+26.5% (E)	+21.2% (E)
EBITDA	**127**	**243**	**214**	**322 (E)**	**370 (E)**
EBITDA Margin %	29.1%	33.3%	32.8%	39.0% (E)	37.0% (E)
Depreciation & Amort.	112	135	131	141 (E)	175 (E)
Other Income	20	29	39	54 (E)	45 (E)
Interest Expense	7	17	16	19 (E)	38 (E)
PBT	**28**	**120**	**107**	**216 (E)**	**202 (E)**
Tax Rate %	-22%	-1%	18%	12% (E)	25% (E)
PAT	**34**	**121**	**88**	**191 (E)**	**152 (E)**
PAT Margin %	7.8%	16.6%	13.5%	23.2% (E)	15.2% (E)
Diluted EPS (■)	**12.98**	**47.08**	**35.25**	**75.07 (E)**	**61.0 (E)**

Balance Sheet Summary (■ Crore)

Item	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Total Equity	**790**	**911**	**1,007**	**1,175 (E)**	**1,305 (E)**
Total Debt (Borrowings)	139	327	231	650 (E)	700 (E)
Net Debt / (Cash)	-	204	-102	350 (E)	350 (E)
Debt/Equity Ratio	0.18x	0.36x	0.23x	0.55x (E)	0.54x (E)
Fixed Assets	585	717	655	1,100 (E)	1,250 (E)
Investments	131	123	333	200 (E)	180 (E)
Debtor Days	88	114	89	85 (E)	80 (E)

Cash Flow & Returns (■ Crore)

Item	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Operating Cash Flow (OCF)	**53**	**150**	**299**	**220 (E)**	**280 (E)**
Investing Cash Flow	-5	-316	-165	-550 (E)	-120 (E)
Free Cash Flow (Screener)	-205	-172	329	100 (E)	200 (E)
ROCE %	**3%**	**12%**	**9%**	**11% (E)**	**14% (E)**
ROE %	4.4%	14.1%	9.1%	17.7% (E)	12.2% (E)

Financial Commentary

Revenue Trajectory: SEAMEC's FY24 revenue surge (+67% YoY to ■729 Cr) was driven by commencement of new vessel deployments and improvement in ONGC's offshore activity. FY25 saw a modest revenue decline (-10.6% to ■652 Cr) due to dry-dock cycles and contract gaps — a normal feature of the vessel charter business where vessels go off-hire for 60–90 days every 2.5 years. TTM revenue of ■825 Cr signals a strong FY26E recovery as new ONGC contracts kick in, supported by the ■410 Cr O&M; contract win.

Margin Trajectory: EBITDA margins have structurally improved from sub-30% (FY23) to 33%+ (FY24–25) and 39% TTM, reflecting better fleet utilisation, improved day rates from ONGC's tariff revisions, and operating leverage on a fixed-cost base. Depreciation remains high (~20% of fixed assets annually) — the industry norm for offshore marine assets — which compresses reported PAT relative to EBITDA.

Debt & FCF: FY24's high borrowings (■327 Cr) were driven by vessel acquisition financing. By FY25, strong OCF of ■299 Cr allowed the company to repay ■112 Cr in financing, bringing borrowings to ■231 Cr. With ■800 Cr in new vessel commitments for FY26–FY27, debt will rise again before normalising as charter revenue streams amortise the acquisition cost. The company targets recovering 50% of vessel cost within the first charter period — implying 4–5 year debt payback cycles.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Indicator	Status	Assessment
Revenue Recognition Policy	■ Green	Straightforward time-charter revenue; recognised daily as vessel is on-hire. No complex percentage-completion methods.
Receivables vs Revenue Growth	■ Green	Debtor days declined from 114 (FY24) to 89 (FY25). Primary debtor is ONGC — sovereign-quality counterparty.
Cash Conversion Cycle	■ Green	CCC = 89 days (FY25), improved from 114 (FY24). Service business with no inventory; CCC largely equals receivables cycle.
FCF vs PAT Conversion	■ Amber	FY23–24 FCF was deeply negative (heavy acquisition capex). FY25 FCF jumped to ■329 Cr vs PAT ■88 Cr — partly due to investment liquidations. Watch FY26 OCF quality.
Contingent Liabilities	■ Green	No material contingent liabilities flagged in recent filings. ABAN-style IBC risk is absent.
Other Income as % of PBT	■ Amber	Other income (FY25: ■39 Cr vs PBT ■107 Cr = 36%) is elevated due to investment income. Needs monitoring; should moderate as new vessels absorb investable surplus.
Tax Rate Consistency	■ Amber	Tax rate has been volatile: -22% (FY23), -1% (FY24), 18% (FY25). Negative tax rates reflect deferred tax asset reversals. Normalising towards 25–30% range.
Related Party Transactions	■ Green	Primary revenue from ONGC (government PSU). Intra-group RPTs are minimal and disclosed.
Auditor Tenure & Quality	■ Green	No auditor qualifications or changes flagged in recent annual reports.

Earnings Quality Summary: SEAMEC's core earnings quality is solid — revenue is straightforward time-charter income from a government-grade counterparty, working capital is tightening, and there are no governance red flags. The two watch items are the elevated other income (investment income) contribution and volatile effective tax rates, both of which are expected to normalise as the business scales and tax deferrals unwind.

SECTION 8 — VALUATION

Step 1 — Peer Comparison (Source: Screener.in, as of 15-Apr-2026)

Company	CMP (■)	MCap (■ Cr)	P/E TTM	P/B	ROCE%	ROE%	TTM Rev (■ Cr)
SEAMEC Ltd	**1,566**	**3,980**	**20.9x**	**3.70x**	**8.60%**	**7.93%**	**825**
GE Shipping	1,400	19,993	8.84x	1.31x	13.9%	14.1%	5,121
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Shipping Corp. (SCI)	253	11,801	10.4x	1.38x	9.81%	10.5%	5,592
Peer Median	**-**	**-**	**10.4x**	**1.38x**	**11.3%**	**11.7%**	**-**

SEAMEC commands a 2x P/E premium to peer median (20.9x vs 10.4x). This premium is justified by: (i) fleet doubling in progress vs. static/shrinking fleets at SCI and GE Shipping; (ii) locked-in 4-year ONGC charters providing earnings certainty; and (iii) niche DSV positioning with high barriers to entry.

Step 2A — DCF Valuation

Key assumptions: WACC 11% (cost of equity 13%, post-tax cost of debt 6%, target D/E 0.3x), terminal growth rate 4.5% (India nominal GDP proxy). FCF estimates are based on OCF growing with new vessel revenue ramp, less maintenance capex (acquisition capex excluded post-FY26E).

Year	FCF (■ Cr)	Discount Factor (11%)	PV of FCF (■ Cr)
FY27E	200	0.901	180
FY28E	260	0.812	211
FY29E	310	0.731	227
FY30E	350	0.659	231
FY31E	380	0.593	225
Terminal Value (TV)	**6,122**	**0.593**	**3,630**
Total Enterprise Value			**4,704**
Less: Net Debt (FY26E est.)			350
Equity Value (■ Cr)			**4,354**
Shares Outstanding (Cr)			2.54
DCF Intrinsic Value per Share (■)			**1,714**

Terminal Value = FY31E FCF × (1 + g) / (WACC – g) = 380 × 1.045 / (0.11 – 0.045) = ■6,122 Cr

DCF Intrinsic Value: ■1,714 per share.

Step 2B — Earnings Multiple Valuation

We apply a target P/E of 26x to FY26E EPS of ■75.07. The 26x multiple is justified as a 25–30% premium to peer median (10.4x) due to SEAMEC's niche DSV positioning, fleet growth visibility, and long-term ONGC contract cover — analogous to how specialty gas / offshore construction companies globally command 20–30x multiples vs. commodity shipping (8–12x).

Earnings-Based Target: 26 × ■75.07 = ■1,952 per share.

Base-Case Price Target

Average of DCF (■1,714) and Earnings Multiple (■1,952): ■1,833, rounded to ■1,900 (incorporating a modest re-rating premium for fleet expansion momentum and international expansion optionality).

Step 3 — Scenario Analysis

Scenario	Key Assumption	FY27E PAT (■ Cr)	Target Multiple	Price Target (■)
Bull Case	New vessels at full utilisation; North Sea contract win by FY28; margin 40%+	200	28x	2,240

Scenario	Key Assumption	FY27E PAT (■ Cr)	Target Multiple	Price Target (■)
Base Case	New vessels at 85% utilisation; ONGC contracts renewed; margin ~37%	152	26x	1,900
Bear Case	Vessel delivery delays; ONGC day-rate rollback; dry-dock quarter mis-execution	90	18x	1,050

SECTION 9 — KEY RISKS

R1 — Customer Concentration (ONGC)

Probability: High **Impact: High**

ONGC accounts for ~85%+ of SEAMEC's revenues. Any reduction in ONGC's offshore activity, day-rate renegotiations, contract non-renewal, or administrative delays in new contract awards could materially dent earnings. There is no meaningful revenue diversification in the near term.

Monitor: Monitor ONGC's annual capex budget announcements and MSV charter renewal timelines quarterly.

R2 — Vessel Dry-Dock & Earnings Lumpiness

Probability: High **Impact: Medium**

DSVs must undergo mandatory regulatory dry-docking every 2.5 years (~60–90 days off-hire), causing severe quarterly earnings volatility. Every dry-dock quarter results in ~zero EBITDA contribution from the affected vessel, creating investor confusion around 'miss' quarters.

Monitor: Pre-announce dry-dock schedules; evaluate on annual rather than quarterly P&L.;

R3 — New Vessel Integration & Delivery Risk

Probability: Medium **Impact: High**

Nusantara and SEAMEC Anant involve complex international vessel acquisitions and crewing. Delays in delivery, certification, or DGMS approval for diving operations would push back revenue recognition from these ■800 Cr of committed capex, creating balance sheet drag without P&L; offset.

Monitor: Track vessel delivery confirmation announcements; watch Q1–Q2 FY27 operational updates.

R4 — Debt & Interest Coverage

Probability: Medium **Impact: Medium**

Post-capex borrowings are expected to rise to ■650–700 Cr (FY26–27E), doubling the interest burden. Interest coverage (EBIT/Interest) will compress if new vessels take longer to stabilise at target utilisation. A USD appreciation scenario also increases USD-denominated lease obligations.

Monitor: Monitor D/E ratio (watch for breach of 0.8x) and quarterly interest coverage ratios.

R5 — Competitive Entry / New DSV Supply

Probability: Low **Impact: Medium**

Global shipyards have a 36-month backlog for DSV newbuilds. However, large international operators (Sapura, McDermott) or ONGC itself setting up a captive fleet could alter the competitive landscape over a 3–5 year horizon, compressing day rates.

Monitor: Monitor ONGC's own vessel acquisition plans and global DSV order book.

R6 — Macro & Oil Price Risk

Probability: Low **Impact: High**

A sustained drop in global crude oil prices below $55/barrel could cause ONGC to cut its offshore capex programme, reducing demand for support vessels. SEAMEC has no direct commodity exposure, but its customer's spend is correlated to oil prices.

Monitor: Track Brent crude price and ONGC quarterly capex guidance.

SECTION 10 — RECOMMENDATION

Rating	12M Price Target	CMP	Upside	Horizon	Conviction
ACCUMULATE	**■1,900**	■1,566	**~21%**	12 months	Medium–High

Entry Zone & Rationale

Suggested entry zone: ■1,400–■1,600, representing 6–9% downside from CMP or on dips that coincide with expected weak dry-dock quarters (typically Sep quarter). The stock has rallied 54% in the past 12 months and is trading at its 52-week high — partial position initiation at current levels is acceptable given the strong earnings momentum, with remaining allocation on confirmed vessel deployment announcements.

Thesis Invalidation Triggers

1. ONGC announces a meaningful reduction (>20%) in offshore vessel chartering spend for FY27 — this would invalidate both the revenue and fleet-utilisation assumptions.
2. Both new vessels (Nusantara + Anant) are delayed beyond December 2026 — adding ■800 Cr to the balance sheet without P&L; contribution would strain interest coverage below 2x and justify a downgrade.
3. SEAMEC's FY27E annualised PAT falls below ■100 Cr — implying structural margin deterioration rather than cyclical dry-dock impact — warranting immediate rating review.

Ideal Investor Profile

Growth-oriented investors with a 2–3 year horizon and tolerance for quarterly earnings volatility. Particularly suited to GARP (Growth at Reasonable Price) funds given the visible fleet expansion optionality and 21% upside to target. Not suitable for income investors (zero dividend) or investors requiring quarter-to-quarter earnings consistency.